Study questions

Financing companies

1 Which of the following statements regarding partnerships is true?

A the liability of individual partners is restricted to their proportion of the capital
B all the partners must pay capital into the business in equal proportion
C each partner is liable for any business debts of the partnership
D none of the above

2 Which of the following are advantages of structuring a business as a sole trader?

1. Ability to raise finance on the stock exchange
2. Greater control over the business
3. Limited personal liability for the debts of the business
4. No requirement to appoint an auditor

A 1 and 2
B 2 and 4
C 1 and 3
D 2 and 3

3 A company obtains a market quotation by the following process. The sale of the company's shares is privately undertaken by its stockbroker, who arranges for a number of the stockbroker's institutional clients to subscribe for shares in the company. When these transactions are completed, permission is granted for the shares to be traded on the stock market. What is this method of obtaining a market quotation called?

A A prospectus issue
B An offer for sale
C A placing
D An introduction

4 A company has the following capital structure:

	Authorised	**Issued**
25p 4% preference shares	£400,000	£100,000
£2 ordinary shares	£500,000	£200,000

If the company declares a dividend of 10p per ordinary share, the total amount to be paid out by way of dividends is:

A £14,000
B £26,000
C £54,000
D £66,000

5 Optima Ltd is a company that gained a full listing on the London Stock Exchange several years ago. The company is expanding, and needs to obtain further funding.

Discuss whether the company should borrow funds, or issue additional shares

6 The directors of Truckee Ltd, a small company, want to purchase a delivery van, costing £15,000. Describe three methods of financing which might be appropriate for this purpose.

7 You are the finance director of a quoted company. You have suggested to your fellow board members that the company should make a scrip issue. The other directors are unconvinced that this is a good idea. Explain to them why your company might wish to make a scrip issue, even though it will raise no finance and will involve some cost.

8 Obtaining a quotation on a stock exchange is expensive, in terms of accountants', lawyers' and brokers' fees. Companies must also pay an annual fee to the stock exchange to maintain a quotation.

Explain why companies choose to incur the costs of obtaining and maintaining a quotation.